5. INCOME TAXES

The domestic and foreign components of income before tax for our operations for the years ended December 31, 2016, 2015 and 2014 are summarized below:

	2016	2015	2014
Domestic	$ (4,346)	$ (16,167)	$ (706)
Foreign	(1,362)	(9,922)	6,545
Total income (loss) before income taxes and discontinued operations	$ (5,708)	$ (26,089)	$ 5,839

The components of the provision (benefit) for income taxes for the years ended December 31, 2016, 2015 and 2014 are as follows:

	2016	2015	2014
Current - Federal	$ (888)	$ (3,005)	$ 378
Current - State	55	55	16
Current - Foreign	1,914	1,557	3,774
Current income tax expense (benefit)	1,081	(1,393)	4,168
Deferred - Federal	—	1,149	(236)
Deferred - State	—	217	(82)
Deferred - Foreign	(284)	(2,091)	63
Deferred income tax benefit	(284)	(725)	(255)
Income tax provision (benefit)	$ 797	$ (2,118)	$ 3,913

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A reconciliation of our income tax provision computed by applying the Federal statutory income tax rate of 35% to income before taxes is as follows:

	2016	2015	2014
Statutory U.S. federal income tax	$ (1,998)	$ (9,131)	$ 2,042
U.S. state income tax, net of federal benefit	(158)	(340)	(15)
Foreign rate differential	164	692	(1,558)
Domestic production activities deduction	—	—	(21)
Tax audit adjustments	—	—	(338)
Intercompany distributions	—	—	16
Equity compensation	339	224	338
Deemed repatriation of foreign earnings	—	810	—
Current year tax credits	—	—	(156)
Impairment of goodwill	—	498	—
Other	97	(1,513)	(132)
Change in valuation allowances	2,353	6,642	3,737
Provision for income taxes	$ 797	$ (2,118)	$ 3,913

We assess the available positive and negative evidence to estimate if sufficient future taxable income will be generated to use existing deferred tax assets. Additionally, a three-year cumulative loss at a consolidated financial statement level may be viewed as negative evidence impacting a jurisdiction that by itself is not in a three-year cumulative loss position. At December 31, 2016 and 2015, the Company is in a consolidated three-year cumulative loss position. Accordingly, we have evaluated the impact on all jurisdictions and have recorded a valuation allowance against the corresponding net deferred tax assets as of December 31, 2016 and 2015. The amount of the deferred tax assets considered realizable, however, could be adjusted in future periods if positive evidence such as current and expected future taxable income outweighs negative evidence.

Our deferred tax assets and liabilities at December 31, 2016 and 2015 consist of the following:

	2016	2015
Deferred tax assets:		
Net operating loss carryforward	$ 9,764	$ 8,162
Inventory differences	1,222	1,044
Equity compensation	688	704
Investment in subsidiaries	581	903
Restructuring	2,328	2,166
Other, net	791	499
Gross deferred tax assets	15,374	13,478
Less valuation allowances	(11,679)	(9,357)
Total deferred tax assets	3,695	4,121
Deferred tax liabilities:		
Purchased intangible assets and goodwill	(4,013)	(4,821)
Depreciation and amortization	(1,130)	(1,322)
Other, net	—	(97)
Total deferred tax liabilities	(5,143)	(6,240)
Net deferred tax liabilities	$ (1,448)	$ (2,119)

As of December 31, 2016, we had loss carryforwards for tax purposes totaling approximately $66,118, comprised of $53,702 foreign and $12,416 domestic federal and state loss carryforwards, which will be available to offset future taxable

income due to laws in certain foreign jurisdictions. If not used, the foreign tax loss carryforwards generally may be carried forward indefinitely or have at least a ten-year carryforward period. We have analyzed the foreign net operating losses and placed valuation allowance on those where we have determined the realization is not more likely than not to occur.

As a result of stock-based compensation in December 31, 2015 and 2014, we decreased additional paid-in-capital by $303, and increased additional paid-in-capital by $106, respectively, for the tax impact. To the extent these adjustments reduced taxes currently payable, they are not reflected in the current income tax provision for those years. After the adoption of ASU 2016-09 for the year ended December 31, 2016, all excess tax benefits and tax deficiencies, including tax benefits of dividends on share-based payment awards, were recognized as income tax expense or benefit in our statement of operations.

As of December 31, 2016, 2015 and 2014, income considered to be permanently reinvested in non-U.S. subsidiaries totaled approximately $35,239, $30,726 and $37,772, respectively. Deferred income taxes have not been provided on this undistributed income, as we do not plan to initiate any action that would require the payment of U.S. income taxes on these earnings. It is not practical to estimate the amount of additional taxes that might be payable on these amounts of undistributed foreign income.

At December 31, 2016 and 2015, the balance of unrecognized tax benefits was $0. We recognize interest and penalties related to uncertain tax positions in operating expense. As of December 31, 2016 and 2015, our accrual for interest and penalties related to uncertain tax positions was $0.

DMC files income tax returns in the U.S. federal jurisdiction, as well as various U.S. state and foreign jurisdictions. In August, 2016 the Internal Revenue Service initiated an examination of our 2012 through 2015 tax years. In the fourth quarter of 2015, German tax authorities announced an examination of the tax returns of our German tax authorities for the 2011 through 2014 tax years that commenced in the spring of 2016. These examinations are still in progress, and our tax provisions reflect our best estimate of state, local, federal, and foreign taxes. However, the outcome of tax audits cannot be predicted with certainty. If any issues addressed in the Company’s tax audits are resolved in a manner not consistent with our expectations, the Company could be required to adjust its provision for income taxes in the period such resolution occurs.

Most of DMC’s state tax returns remain open to examination for the tax years 2012-2016. DMC’s foreign tax returns generally remain open to examination for the tax years 2012-2016, depending on jurisdiction.